



Image 2.4 – EOD Close near Day's High

In the above chart, the price closed above the resistance line on 5-Jan-2021. But the most important thing is that the closing price is very close to the day's high price. It indicates that buyers are decisive for the day and don't have any intention for profit booking. Besides, sellers are also absent (otherwise, it would have resulted in a selling wick).

So, on 6th Jan, the price opened near the resistance line, displayed open-low formation (recall previous section's explanation), and rallied further on the upside.

The funny part is, the price displayed a close near day's high once again. It again indicates the presence of solid buyers and their intention of not booking the profits.

On the following day (7th Jan), the price opened above the previous day's high (6th Jan), and once again, it displayed open-low and displayed a big move on the upside.

Traders can use the same concept on the downside as well to look for short trades.